Blessed G/Michael Catholic Secondary School
1st Semester Economics Test One for Grade 10th

Exam name: - Economics **Time allowed: - 35 minutes**

Max weight: - 20% **Exam date: -**

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Part I: - choose the best one among the alternatives (1 mark)

C 1. A consumer is maximizing satisfaction when: MUx = Px
   A. The marginal utility per birr spent on all goods is equal MU
   B. The total utility of all goods is the same
   C. The marginal utility of each good is zero
   D. The marginal utility of money is increasing

A 2. When MUx/Px > MUy/Py, a rational consumer should: MUx/Px > MUy/Py
   A. Buy more of X and less of Y
   B. Buy more of Y and less of X
   C. Maintain current consumption
   D. Stop buying both goods

A 3. The main difference between cardinal and ordinal utility is that:
   A. Cardinal utility measures satisfaction numerically; ordinal ranks it
   B. Ordinal utility assumes measurable utils
   C. Cardinal utility ignores diminishing MU
   D. Ordinal utility depends on money utility

B 4. Which of the following violates the assumption of rational behavior?
   A. A consumer comparing utilities
   B. A consumer buying more of a good as its satisfaction decreases
   C. A consumer ranking bundles
   D. A consumer choosing based on price

C 5. Which of the following can cause a leftward shift in the demand curve for coffee?
   A. Increase in consumer income
   B. Rise in tea prices
   C. Decrease in consumer income
   D. Fall in milk prices

C 6. An increase in both demand and supply will always:
   A. Increase price
   B. Decrease price
   C. Increase quantity
   D. Leave price unchanged

AB 7. A movement along a supply curve occurs due to:
   A. Change in the price of the good
   B. Change in technology
   C. Change in taxes
   D. Change in wages

B 8. If demand decreases while supply increases, equilibrium price will:
   A. Increase
   B. Decrease
   C. Stay constant
   D. Cannot be determined

B 9. Which is not an assumption of ordinal utility theory?
   A. Rationality
   B. Utility is measurable in utils
   C. Consistency
   D. Transitivity

BA 10. Among the following, which factor/s can be a shifting factor for demand curve?
   A. Price of a product
   B. Income
   C. Subsidy
   D. Weather condition

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1. Shifting factor: non-price factor that change demand

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Part II: - Say True if the statement is correct and say False if the statement is wrong .(1 mark)

1. A shortage occurs when the market price is above equilibrium. false
2. The law of diminishing marginal utility assumes that all other factors such as taste and income remain constant. True
3. The ordinal utility approach rejects the concept of measurable utility but accepts the ranking of preferences. True
4. A mere desire for a given product can be considered as demand. false
5. A decrease in demand with constant supply leads to a fall in equilibrium price. false

Part III: - workout (show all the necessary steps)

1. Suppose there are 100 identical buyers and 100 identical sellers in the market. One of the respective individual seller and buyer inverse function is given as:

$$\begin{pmatrix} P = 2 - 0.1Q \\ P = 0.2Q - 1 \end{pmatrix}$$

Based on the above information, answer the following.

A. Calculate the equilibrium price and equilibrium quantity **(3 marks)**

B. The market status when P=2.5? **(2 marks)**

Answer sheet

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Part I: - Multiple choice item

1	2	3	4	5	6	7	8	9	10
C	A	A	B	C	C	B	B	B	A

Part II: - True/False item

1	2	3	4	5
false	True	True	false	false

1, $AP = 2 - 0.1Q$

$\frac{-0.1}{-0.1}Q = \frac{P-2}{-0.1}$

$Q_d = -10P + 20$

$Mdd = (-10P + 20)100$

$= -1000P + 2000$

$P = 0.2Q - 1$

$\frac{0.2Q}{0.2} = \frac{P+1}{0.2}$

$Q_s = 5P + 5$

$M_{SS} = (5P + 5)100$

$= 500P + 500$

$Mdd = MSS$

$-1000P + 2000 = 500P + 500$

$-1000P - 500P = 500 - 2000$

$\frac{-1500P}{-1500} = \frac{-1500}{-1500}$

$P^* = 1$

$Q^* = -1000(1) + 2000$

$= -1000 + 2000$

$= 1000$

2, $B_1 = -1000(2.5) + 200$

$= -2500 + 200$

$Q^* = -50$

when $P = 2.5$ & $P^* = 1$

$2.5 > 1$ so $P > P^*$ so there will be surplus in the market